swap window, banks in India—including private, state-owned and foreign banks—could raise FCNR (B) deposits in any freely convertible foreign currency like US dollars, euro and British pounds, but the swap facility with the RBI for rupees was only available in US dollars.

When the deposits would mature in three to five years, banks could go back to the RBI and exchange the rupees back for foreign currencies.

The RBI also agreed to bear the hedging cost (what a bank pays to shield itself from currency fluctuations), making it more attractive for banks to mobilise these deposits. Further, the central bank also allowed the banks mobilising FCNR (B) deposits to lend against it to non-residents.

The move was so successful that the RBI closed the special window a month early on August 31, 2026, against the earlier planned September 30. The special windows for OFCB and ECB, however, will remain open until the end of December 2026.

Interestingly, data released by the finance ministry in the Lok Sabha on August 3 showed that while large private sector banks led in FCNR (B) deposit mobilisation, foreign lenders, despite their relatively small domestic deposit franchises, also garnered a good chunk of the FCNR (B) deposits.

HSBC's FCNR (B) outstanding rose from $120.3 million on June 5, 2026, to $6.26 billion on July 30. Standard Chartered Bank's outstanding FCNR (B) deposits stood at $1.86 billion as of July 30. Notably, the final official data of all banks at the end of August, when the window closed, hasn't been released yet.

Foreign banks managed to attract FCNR (B) deposits aided by offering leverage of as high as 19-29 times, according to CareEdge Ratings, while select private banks offered 12-15 times leverage. Generally, banks offer nine times leverage.

In leveraged FCNR (B) deposits, an investor contributes a portion of the deposit from own funds. The investor borrows additional foreign currency against the deposit through the bank or an affiliated overseas lender, which is also invested in FCNR (B), creating a significantly larger deposit base.

Apart from boosting forex reserves, the deposits also partially contributed to the recovery of the rupee. By early September, the Indian currency had risen to above 94.5 against the US dollar, compared to 95.74 in early June.

To be sure, comparatively, the rupee had recovered a sharper 8% in 2013 on the back of FCNR(B) flows. But with the currency currently falling again recently—it breached the 96-to-the-dollar mark intraday on September 17—amid reescalation of the West Asia conflict, economists say the record reserves would come in handy for the RBI to intervene in the forex market.

"The record build-up in foreign reserves has changed the policy calculus, providing policymakers a substantial buffer against forex volatility, commodity price shocks, and swings in global risk sentiments," says Radhika Rao, senior economist and executive director at DBS Bank, adding that the economy is heading into a period of greater uncertainty with considerably more policy flexibility than in earlier cycles.

LIQUIDITY SURGE

The immediate challenge is the excess liquidity, which is not necessarily a bad thing for banks. Experts say the inflow of FCNR(B) deposits will reduce pressure on lenders to compete for domestic deposits



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RADHIKA RAO
SENIOR ECONOMIST AND EXECUTIVE DIRECTOR, DBS BANK



"If high interest rates prevail in developed economies due to geopolitical reasons, we will see pressure on the Indian currency"

MURTHY NAGARAJAN
HEAD OF FIXED INCOME, TATA ASSET MANAGEMENT